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Financial Handbook Volume-I

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Chapter I: General

Rule 1. Scope and Application

The rules contained in this Handbook describe primarily the procedure relating to the initial and compiled accounts of officers of the Department of Posts. The general rules are based on the Receipts and Payment Rules-1983, the Treasury Rules, Government Accounting Rules 1990 (GAR), **GFR-2017**, and other Financial Rules issued by the Central Government.

Rule 2. Definitions

For the purpose of these rules:

- **(a) The Accounts Officer:** Means the Head of an Office of Accounts.
- **(b) The Bank:** Means any office or branch of the Banking Department of the Reserve Bank of India (RBI), any branch of the State Bank of India (SBI) acting as the agent of the RBI, and any other agency appointed by the RBI.
- **(c) The Secretary:** Means the Secretary of the Department of Posts.
- **(d) The Director General:** Means the Director-General of the Department of Posts.
- **(f) The Department:** Means the Department of Posts. **The Head of a Circle** means a Chief Postmaster General of a Circle.
- **(h) The Head of a Department:** Means any authority declared under S.R. 2(10). The Director General is the Head of the Department of Posts.
    - *Note:* For the purpose of Schedule-II ("Schedule containing the Financial Powers of the HOC and HOD of the Department of Posts"), the Sr. DDG (PAF) and GMs (PAF) are also included.
- **(i) Treasury:** Includes a sub-Treasury.

Rule 3. Declaration of Head of Office

In respect of offices in which there are more than one Gazetted Officer, Heads of Departments are authorized to declare any of the Gazetted Officers as the Head of an Office for the purpose of the rules in this Handbook.

Chapter II: General Principles and Rules

Receipt of Money

Rule 4. Deposit of Public Money

Any officer of the Government in his official capacity, receiving moneys as dues of Government or for deposit in the custody of Government, should pay such moneys in full without undue delay into a Treasury or into the Bank to be credited to the appropriate account. In Post Offices, the surplus collections are to be remitted by the Postmasters to the Bank or Treasury.

Rule 5. Constitutional Provision

Under Article 284 of the Constitution, all moneys received by or deposited with any Officer, other than Revenues or public money raised or received by Government, shall be paid into the Public Account.

Rule 6. The Public Account

The Public Account is the account maintained for moneys which have passed into the custody of Government. Every Government servant should, without undue delay, pay into the Public Account all moneys received by him.

Rule 8. Granting of Receipts

The Head of an Office where money is received on behalf of the Government must give the payer a receipt/e-receipt duly signed by him after he has satisfied himself that the amount has been properly entered in the Cash Book/e-cash book (in proper GL code) and issue a digital **ACG 67** (system driven).

Rule 9. Responsibility for Collection

It is ordinarily the duty of the Departmental Officers, and not of the Accounts Officer, to see that the dues of the Department are regularly collected and brought to account.

Payment of Money

Rule 12. Withdrawal of Funds

A Disbursing Officer may permit withdrawal for all or any of the following purposes: dues from Government, claims of private parties, loans and advances, etc..

Rule 14. Place of Payment

Except as otherwise provided, a payment shall only be made at the office under the jurisdiction of which the claim arises.

Rule 15. Sanction Requirement

As a general rule, no Authority may incur any expenditure from Public Funds until the expenditure has been sanctioned by general or special orders of the President or by an authority to whom power has been duly delegated.

Rule 17. Corrections in Bills

- **(a)** When bills presented for payment contain obvious inaccuracies or arithmetical mistakes which can be corrected, a Disbursing Officer need not return such bills but may correct them and pay the corrected amount of the bills.
- **(b)** Similarly, when bills contain doubtful items which can easily be eliminated, the Disbursing Officer should disallow the doubtful items and pay the remainder of the bill.

Rule 18. Endorsements

All cheques, bills, etc., preferred at a Treasury for payment, being non-negotiable instruments, can be endorsed only **once** in favor of the specific party to whom the money is to be paid.

1. When the endorsement is made on a cheque or a bill in favor of a Banker, a **second endorsement** can be made by the Banker in favor of a messenger or an agent for collection only.

2. In the case of a contingent bill which has been endorsed in favor of a firm or suppliers, the firm can re-endorse to its Banker or to a messenger for collection only, and the Banker can in turn endorse it to a messenger or an agent for collection only.

    - *Note:* Thus, in all, **three endorsements** are permissible in such cases.

Rule 19. Specimen Signatures

The Accounts Officer will supply disbursing offices under his jurisdiction with a copy of the specimen signature of officers who are authorized to sign payment orders on bills and vouchers or to issue letters of authority for payments to be made at such disbursing offices.

Rule 19-A. Authorization to Draw Funds

Every Officer who is authorized to draw funds from the Post Office shall send a specimen of his signature to the Postmaster concerned through some superior or other Officer whose specimen signature is already with the Post Office.

Rule 19-B. Final Payment of GPF Money

The copy meant for the Disbursing Officers of all GPF final payment authorities, issued by the Circle Postal Accounts Office, shall be stamped with a special metallic embossing seal bearing the name of the office of issue. Disbursing Officers should ensure that no final payment of the GPF is made without verification of the special seal and specimen signature of the Officer authorized to issue payment authorities for the GPF claims.

Claims by Government Servants

Rule 21. First Pay Claim

No payment shall be made on account of pay or allowances drawn for the first time from a disbursing office by a Government servant, other than a person newly appointed to Government service, unless the claim is supported by a Last Pay Certificate (LPC) in the prescribed form.

Rule 22. Transfer and Leave Return

Unless otherwise provided in the rules, no payment may be made without the orders of the Accounts Office to a Government servant transferred from another Department or on return from leave out of India.

Rule 23. Gazetted Officers' Pay

The pay, leave salary or allowances of a Gazetted Government servant, or a reward or honorarium payable to a Gazetted Government servant or any pension, shall not be paid until the Accounts Officer has intimated to the Disbursing Officer the rate at which payment shall be made.

Rule 24. Arrear Claims

No claims against the Government, other than those by one department against another or by a State Government, not preferred within **two years** of their becoming due can be presented without any authority from the Circle Accounts Officer.

- **Exception:** Claims not exceeding Rs. 500/- if presented within **three years** of their becoming due may be paid without pre-check by the Circle Accounts Officer.
- Bills for claims more than **two years** old shall be subjected to pre-check by the Circle Accounts Officer as required under rules, even if the net amount payable after adjustment of advance due etc. is nil.

Rule 25. Forfeiture of Travelling Allowance

The right of a Government servant to travelling allowance, including daily allowance, is forfeited or deemed to have been relinquished if the claim for it is not preferred within **sixty days** from the date on which it becomes due.

Rule 26. Railway Claims

Claims of the Department against Railways for overcharges and claims of Railways against the Department for undercharges will be recognized and admitted if the claims are preferred within **six months** from the date of payment or presentation of bill.

Rule 27. Investigation of Time-Barred Claims

Claims of officials to arrears of pay and allowances, increments, or other dues which are not preferred within **two years** of their becoming due shall not be investigated and authorized by the Circle Accounts Office unless:

- **(a)** In the case of claims more than **two years** but not more than **six years** old: Specific approval for investigation is received from the Head of Department.
- **(b)** In the case of claims more than **six years** old (where connected records are available): Specific approval to investigation is received from the Head of Department.

Notes on Claims:

1. **Delegation of Power:** The Director-General (Posts) has re-delegated powers to Heads of Circles and other Officers declared as Heads of Departments to issue sanction for investigation of arrear claims which are more than **6 years** old, provided connected records are available in the Circle Accounts Office.
2. **Due Date of LTC Claim:**
    - In case advance is drawn: Within **one month** of the due date.
    - In case advance is not drawn: Within **three months** of the due date.
3. **Pay Increments:** The grant of normal increments does not constitute sanctions; such claims become payable on the succeeding day of the period to which they relate.
4. **Deceased Officials:** If claims are not preferred within **two years** reckoned from the day following the day of death, the bills will have to be pre-audited under Rule 25.

5. **Leave Salary:** Since the claim for leave salary arises when the official enjoys the leave, the period of **two years** should count from the date of it becoming due in the normal course.

Rule 28. Destruction of Records

Old claims, the connected records of which have been destroyed in the Circle Accounts Office and which cannot be verified by the Circle Accounts Office, may be paid if sanctioned by the Government.

Payments to Persons not in Government Service

Rule 30. Claims by Non-Government Persons

Where a person not in the Government service claims payment for work done, services rendered, or articles supplied, the Disbursing Officer, unless otherwise expressly provided, should require:

- **(a)** The submission of the claim by the Head of the Circle, or other responsible Government Officer under whose immediate order the service was done.
- **(b)** Income tax @ **2%** or as prescribed by the Government to be deducted at source in all cases of payment to contractors and sub-contractors exceeding **Rs. 30,000** in terms of the provisions of Section 194-C of the Income Tax Act, 1961.

Payment of Rent of Buildings Occupied by the Department

Rule 32. Mode of Payment

Rent of a building occupied by an office of the Department should be paid under a receipt duly signed by the owner or by crediting into the Bank/POSB accounts of the owner according to the clauses incorporated in the agreement.

Payments by e-Money Orders

Rule 33. Purpose of Remittance

When a departmental payment is required to be made either by a postal service or an e-MO, the purpose of remittance may be briefly stated by the remitting Officer on the communication/message portion.

Rule 34. Cost of Remittance

In cases in which money due by the Government paid by Postal Money Order, the cost of remittance shall, in the absence of any special rule or order to the contrary, be borne by the payee.

- Pension up to **Rs. 9,000/-** per month plus DR on pension time to time may at the request of the pensioner, be remitted by Postal Service Money Order.

Preparation of Bills and Their Check

Rule 35. General Instructions

The following general instructions regarding the preparation and form of bills should be observed by the Drawing Officer:

1. Printed forms of bills as prescribed should be adopted as much as possible. Bills for all debit heads items should be drawn in separate forms printed in red ink on white paper.
2. All bills must be filled in and signed in ink.
3. The amount of each bill should, as far as whole rupees are concerned, be written in words as well as in figures.
4. All corrections and alterations in the total of a bill whether made in words or figures, should be attested by his full signature with date of the person signing the receipt as many times as such corrections and alterations are made.
5. Erasures and overwriting in any bill are absolutely forbidden and must be avoided; if any correction be necessary, the incorrect entry should be cancelled neatly in red ink and the correct entry inserted. Each such correction or any

interpolation deemed necessary should be authenticated by the Drawing Officer setting his full signature with date against each.

6. The correct head of classification should be recorded on each bill by the Drawing Officer, the classification in the budget being taken as a guide. Charges against two or more major heads should not be included in one bill.

7. Bills requiring previous countersignature should be presented only after such countersignature.

    - *Note:* After digitization of HR activities by the Department, the process of preparation of Bill of pay and allowances may differ on technology platform.

    - **(a)** "Under rupees thirty only" will mean that the bill is for a sum not less than **Rs. 20** but less than **Rs. 30**; and similarly, "under rupees eight hundred only" will mean that it is for less than **Rs. 800** but not less than **Rs. 700/-**.

    - **(b)** A bill becomes a voucher after payment.

Rule 37. Checks by Disbursing Officer

The following checks should, inter alia, be adopted by a Disbursing Officer in dealing with bills presented for payments:

- **(a)** That the bill has been prepared as prescribed in Rule 35.
- **(b)** That the claim is admissible, the authority good, the signature and countersignature, where necessary, genuine and in order and the receipt, a legal quittance.
- **(c)** That the arithmetical computations on the bill are accurate.

Rule 38. Pay Order

After all the checks prescribed in the rules have been applied and the Disbursing Officer is satisfied about the admissibility of the claim, he should:

- **(a)** Make necessary correction, if any, in the bill under his dated initial.
- **(b)** Endorse a pay order on the bill authorizing the treasurer to make the payment.

Rule 40. Prompt Payment

Special care shall be taken that all bills, etc., passed for payments are paid on the same day.

- *Note:* The period of validity of pay orders will be **seven days** from the date of the endorsement of pay order excepting the pay orders made on the bills relating to pay and allowances of the staff which are governed by different sets of rules.

Rule 42. Responsibility of Disbursing Officer

The Disbursing Officer shall be responsible to the Accounts Officer for acceptance of the validity of a claim against which he has made payment, and for evidence that the payee has actually received the sum charged.

Rule 45. Vouchers and Sub-Postmaster Powers

Every voucher must bear a pay order and indicate mode of payment and signed by the responsible Disbursing Officer, specifying the amount payable both in words and figures. All pay orders must be signed by hand and in ink.

- A Sub-Postmaster may make payments in the cases listed below without pay order of the Head Postmaster being previously endorsed on the vouchers:
    - **(a)** Where there is specific sanction of the Competent Authority and the payment has to be affected by the SPMs.
    - **(b)** Extra Expenditure incurred for the delivery of heavy Parcel Mail articles.
    - **(c)** Charges for extra dispatch of mails.
    - **(d)** Charges for conveyance of cash.
    - **(e)** Charges for escorting cash remittances.
    - **(f)** Payment of electric bills, sanitary and water charges.
    - **(g)** Funeral expenses.
    - **(h)** Payment of express delivery charges.
    - **(i)** Payment of Messenger service bills.

Rule 46. Cancellation of Sub-Vouchers

All sub-vouchers to bills must be cancelled in such a manner that they cannot be subsequently used for presenting fraudulent claims or other fraudulent purposes.

Rule 47. Rounding Off

Fraction of **50 paise** and above to be rounded off to the next higher rupee and fraction of less than **50 paise** to be ignored.

- **(a)** Personal claims of Government servants and pensioners.
- **(b)** HRA, DA, TA and all deducted from salary bill i.e., PLI premium/License fee/Taxes, interest on loan and advances recovery installments etc. rounded off whole rupees.
    - In case of TA bills, the rounding shall be done only at the last stage and not in respect of each item.
- **(c)** Payment on account of Pension/Relief on Pension/Death Gratuity/ Retirement Gratuity/ Commuted value of Pension and in the case of emoluments fixed by Law amounts shall be rounded off to the next higher rupees.

Stamps for Receipts

Rule 48. Stamp Duty

Receipts for all sums exceeding **Rs. 5,000** must be stamped under Section 3, read with item 53 of Schedule 1 of the Indian Stamp Act (Act II of 1899) unless they are exempt from stamp duty. Stamp duty charge is on net amount, not gross amount.

Rule 49. Defacing Stamps

The paying officer should take special care to see that receipt stamps on paid vouchers are punched or so defaced that they cannot be used again.

Duplicates or Copies of Documents

Rule 50. Issue of Duplicates

No Government Officer may issue duplicates or copies of receipts granted for money received, the payment of money which has already been paid, on the allegation that the originals have been lost.

- In the case of a bill or voucher passed by the Drawing Officer/Controlling Officer for presentation at a disbursing office but lost either before payment or before presentation at the disbursing office, the Government Officer who drew the original bill or voucher shall ascertain from the disbursing office that payment has not been made on it before he issues a duplicate thereof.
- The duplicate copy issued must bear distinctly on its face the word "duplicate" written in red ink.
- When any kind of bill is required to be prepared in duplicate or triplicate, only one copy shall be signed or countersigned in full, the other copy or copies may be only initialized.
- If the previous audit of the Accounts Officer is required, only the original copy shall be sent to that authority.

Rule 51. Losses of Government Property

Report of losses of Government property should be submitted to the Accounts Office annually on the **15th May** each year in the prescribed form.

Rule 52. Defalcation and Losses

Any defalcation or loss of public money, departmental revenue or receipts (due to whatever cause, including under-assessment of revenue), stamps, stores, or other property, discovered in any office of the Department of Posts, should be immediately reported by the Officer concerned to his immediate official superior as well as to the Accounting Authority viz., Heads of Postal Accounts Office even when such loss has been made good by the person responsible for it.

- Such reports must be submitted as soon as a suspicion arises that there has been a loss.

- The Head of Office where the defalcation and loss had occurred shall ensure that the case is properly pursued and investigated by the authorities concerned.
- When the matter has been fully investigated, a further and complete report should be submitted on the nature and extent of the loss, showing the errors or neglect of rules by which such loss was rendered possible, and the prospects of effecting recovery.
- A copy of the sanction for the write-off of such losses will, however, be forwarded to the Accounts Officer/Accounting Authority concerned in all cases except petty loss.

Exception: Petty cases, that is, cases involving losses not exceeding Rs. 10,000 each, need not be reported to the Audit Officer/Accounting Authority concerned.

Rule 54. Loss or Deficiency in Suspense Heads

Loss or deficiency concerning building, land, stores, and equipment need not be recorded in a separate head in the accounts; they should be recorded under the suspense head in the Government Account. Losses or deficiencies relating thereto must be written off the Suspense heads also.

Rule 55. Loss of Cash or Stamps

Money or stamps lost or stolen from the cash balance, remittances in transit, or the permanent advances should be charged in the accounts immediately when the loss or defalcation is discovered.

- Defalcation of losses should be first charged directly to Postal Advances, Railway Mail Services, and other accounts, Major Head **8553** as advances and recoveries (Debit/Credit entry).
- The acceptance of counterfeit coins or notes shall be regarded as a loss of cash.

Government Decisions on Losses

1. Actions involving material loss or destruction of Government property (fire, theft, etc.):

- **(a)** When material losses due to suspected theft, fraud, fire, etc., occur in any office/installation, such cases should invariably be reported to the Police for investigation. The Heads of Departments should exercise their discretion in determining at what stage reports should be sent to the Police.
- **(b)** All losses, excepting the losses due to suspected sabotage, of the assessed value of Rs. 50,000 and more shall be regarded as 'material'.
- **(c)** All cases of suspected sabotage shall be reported to the Police promptly irrespective of the value of the loss involved. A formal investigation report should be obtained from the Police authorities in all cases which are referred to them.

2. Monetary Limits for Investigation in Loss/Fraud Cases: The monetary limits for investigation by different authorities in the Department of Posts are as follows (Effective from **23.09.2021**):

Level of Investigating Officer	Revised Monetary Limit (Principal Amount)
Inspector Posts / ASP	Up to **Rs. 2 Lakhs**
Divisional Heads / Sr. PM / Chief PM / Dy. Director (Mumbai/Kolkata GPO)	**> Rs. 2 Lakhs** up to **Rs. 5 Lakhs**
Asst. Director / APMG of Circle/Regional Office	**> Rs. 5 Lakhs** up to **Rs. 10 Lakhs**
Director (including Directors in GPOs) / **PMG / CPMG**	**> Rs. 10 Lakhs**

- **Note:** These limits will be based on "Principal Amount of Loss/Fraud including Temporary Misappropriation". Normal Interest and Penal Interest will not be part of the amount involved for the purpose of deciding the investigating authority.

3. Reporting Protocols:

- **(a)** All loss/fraud cases involving amounts exceeding **Rs. 5 Lakhs** shall continue to be reported to ADG (Investigation) by the Circles at the first instance (i.e., immediately on detection) or when the amount exceeds Rs. 5 Lakhs.
- **(b)** Investigation Reports of IPs/ASPs will be reviewed by the Divisional Heads/Sr. PM/Chief PM/Dy. Director of Mumbai/Kolkata GPO as the case may be.
- **(c)** Reports of investigations carried out by Divisional Heads/Sr. PM etc. will be reviewed by Asst. Director/APMG of Regional/Circle Office and submitted to the DPS for information and orders.
- **(d)** Where circle-level investigations are carried out by Asst. Director/APMG, CLI reports will be reviewed by the DPS and submitted to the PMG/CPMG for information and orders.
- **(e)** CLI reports where investigations have been conducted by DPS/PMG/CPMG will have to be submitted to the Directorate.

Rule 57. Serious Loss of Immovable Property

Any serious loss of immovable property such as buildings, communications, or other works caused by fire, flood, cyclone, earthquake, or any other natural cause, should be reported at once by the departmental Officer to the Head of the Department and by the latter to the Government.

- When a full enquiry as to the cause and extent of the loss has been made, a further report should be made to the HOD, a copy of the report or an abstract thereof being sent simultaneously to the Audit Officer/Accounts Officer concerned.
- The term "serious loss" occurring in this rule should be interpreted as meaning all losses exceeding Rs. 50,000 in value.
- Losses not exceeding Rs. 50,000 in value should continue to be reported to the HOD (and to the Police etc. where necessary), but they need not be reported to the Government or the Audit Office/Accounts office concerned.

Rule 58. Responsibility for Losses

Every Government Officer should be personally responsible for any loss sustained by the Government through fraud or negligence on his part, and he will also be held personally responsible for any loss arising from fraud or negligence.

Rule 60. Standards of Financial Propriety

The standards of financial propriety are governed under **Rule 21** of **GFR 2017**.

Rule 61. Control of Expenditure

Each Head of a Department is responsible for enforcing financial order and strict economy at every step. He is responsible for the observance of all relevant financial rules and regulations by his own office and by subordinate Disbursing Officers.

Rule 63. Forbidden Practices (Erasures)

Erasures and over-writings in any account, register, schedule, or Cash Book are absolutely forbidden; if any correction is necessary, the incorrect entry should be cancelled neatly in red ink and the correct entry inserted. Each such correction or any interpolation deemed necessary should be authenticated by the Head of the Office setting his dated initials against each.

Rule 67. Adjustment between Governments

To enable the Audit/Accounts Office to make necessary adjustments, full particulars of all receipts or disbursements made on behalf of other Departments should be forthwith intimated to the Audit/Accounts Office.

Rule 69. Preservation of Accounts Records

The rules regarding the destruction of accounts records pertaining to the accounts audited by the Audit Department are contained in **Appendix 3** of FHB Volume I.

- A register of destruction of records in form A.C.G. 91 should be maintained in each office and preserved permanently.

- Accounts Records against which audit objections are pending should not be destroyed until the final settlement of audit objections.

Chapter III: General Outlines of the Systems of Accounts

Rule 70. Classification of Heads

Departmental Receipt and expenditure are recorded under various Major Heads which are suitably divided and sub-divided so as to show the nature of the transaction recorded under them.

I. Revenue Receipts:

- **Non-Tax Revenue:**
  - Major Head **0049**: Interest Receipts.
  - Major Head **1201**: Postal Receipts.
  - Major Head **0051**: Public Service Commission.
  - Major Head **0070**: Other Administrative Services.
  - Major Head **0075**: Miscellaneous General Services.
  - Major Head **0210**: Medical and Public Health.
  - Major Head **0216**: Housing.
  - Major Head **0235**: Social Security Welfare.
- **Tax Revenue:**
  - Major Head **0021**: Taxes on income other than corporation tax.
  - Major Head **0037**: Customs.

II. Expenditure met from Revenue:

- **A - General Services:**
  - **2016**: Audit.

  - **2049**: Interest Payment.
  - **2071**: Pension and other Retirement Benefits.
- **B - Social Services:**
  - **2235**: Social Security and Welfare.
- **C - Economic Services:**
  - **3201**: Postal Services.
  - **2552**: North Eastern Areas.
  - **3465**: General Financial and Trading Institutions.
- **D - Capital Accounts of Economic Services:**
  - **4552**: Capital Outlay on North Eastern Areas.
  - **5201**: Capital Outlay on Postal Service.
  - **5465**: Investments in General Financial and Trading Institutions.
- **E - Loans and Advances:**
  - **7610**: Loans to Govt. Servants etc..
- **Postal Life Insurance:**
  - **8014**: Postal Life Insurance Schemes.
  - **8015**: Investments of Post Office Insurance Fund.
  - **8016**: Income and Expenditure of Post Office Insurance Fund.
- **Deposits and Advances:**
  - **8446**: Postal Deposits.
  - **8455**: Settlement Account with India Post Payments Bank (IPPB).
  - **8553**: Postal Advances.
- **Suspense and Miscellaneous:**

- **8661**: Suspense Account (Postal).
- **8670**: Cheques and Bills.
- **8677**: Remittances into Bank/Treasury.
- **8680**: Miscellaneous Government Accounts.

Rule 71. Commercial Department Status

The Department of Posts is recognized as a commercial department. The Department has been entrusted with a large amount of plant and equipment, the cost of which is recorded under the Major Head **5201** Capital Outlay outside the Revenue Account. The Department is required to pay interest on the amount at charge of this Capital head.

Rule 72. Recording of Revenue and Expenditure

All realization of Departmental revenue and all revenue expenditure of the Department are recorded under the respective Major heads:

- **Receipts:** Major Head **1201** - Postal Receipts.
- **Expenditure:** Major Head **3201** - Postal Services.

Rule 76. Head Post Office Cash Account

Each Head Post Office submits to the Circle Account Office a monthly cash account in which all transactions of receipts and expenditure of the head office itself and of the offices subordinate to it (viz. Sub and Branch Post Offices) are recorded. These monthly accounts are classified in the Accounts Office in complete detail of major, minor, sub, and detailed heads.

Rule 77. Head Record Office Cash Account

Each Head Record Office submits to the Office a monthly Cash account in which the amounts drawn by it from the Post Office for disbursement are shown on the receipt side and the amounts disbursed are shown on the expenditure side. The duty of classifying these transactions in complete detail devolves on the Audit Office.

Rule 79. Main Sources of Revenue

The main sources of departmental revenue are the sale of stamps and postage, receipts on account of commission on Money Orders and Indian Postal Orders, sale of assets, and recoveries for other Departments of Government of India for the services rendered by the department.

Chapter IV: Relation with Audit

Rule 80. Accounts Structure

The work of accounts of the Department of Posts has been distributed among **23** Circle Postal Account Offices headed by a General Manager (PA&F) / Director of Accounts / Deputy Director of Accounts (Postal). The work of external audit has been undertaken by the P&T Audit as a Statutory Audit Authority under the Comptroller and Auditor General of India.

Rule 81. Attention to Audit

Every Government servant must attend promptly to all objections/orders communicated to him by the Audit Officer/Account Officer.

Rule 82. Returning Audit Memo

The Disbursing Officer should return the objection statement or audit memorandum within a **fortnight**, or send a letter explaining the cause of delay.

Rule 83. Transfer of Recovery

If a Government Servant from whom a recovery is ordered is transferred to the jurisdiction of another Disbursing Officer, the order of recovery should be passed on to that Disbursing Officer.

Rule 84. Rate of Recovery

Recoveries are not ordinarily made at a rate exceeding **one-third** of pay. The rate of recovery will be fixed by the Accounts Office.

Rule 85. Retrenchment Register (ACG-60)

A register in form **ACG-60** should be maintained at the Disbursing Office for recording all retrenchments ordered either by the Accounts/Audit Officer or by Departmental authorities, all advances made but not adjusted, and losses etc., affecting the balance of the office.

- The Head of the Office shall check at least **10%** of the entries made therein every month and initial them.

Rule 86. Recovery of Disallowances

The recovery of a sum disallowed from a pay bill or of a sum disallowed from a T.A. claim may be made from the next pay bill. If the Government Servant concerned does not present another T.A. bill within a **month**, recovery shall be made through cash or pay.

Rule 87. Direct Dealings

The Circle Postal Accounts Office/Audit Office deals with Disbursing Officers directly in the matter of objection statements or audit memoranda.

Rule 88. Objection Statements

- **(a)** In the case of bills of Gazetted Officers, objections in audit are communicated in separate printed memoranda to the Officers concerned, copies being sent to Disbursing Officers.
- **(b)** In the case of cash accounts/Trial Balance, primary abstracts, establishment pay, travelling allowance bills, and contingent bills, items of objections are shown in the objection statement.

Rule 89. Preparation of Objections

The objection statements are prepared by the Accounts Office in duplicate. Both copies (1. Pencil draft, 2. Carbonized copy) are sent to the Disbursing Officer or the Head of Office. The Draft copy should be retained in the office record, while the carbonized copy should be returned to the Accounts Office with the reply neatly written in ink against each item of objection.

Rule 90. Delay in Returns

If Disbursing Officers or Heads of Offices are dilatory in returning objection statements or in settling objections, the matter will be reported by the Audit Office/Account Office to the Head of Circle Concerned. In the case of an officer habitually delaying the return of objection statements, a special report will be made to the Director-General.

Rule 91. Force of Objection

Once a transaction has been entered in the objection statement, it will continue to be in force until such time as it is removed either by the Head of the Office obtaining the requisite sanction or by the CPAO/Audit Office intimating the withdrawal of the objection.

- *Note:* The account records against which audit objections are pending should not be destroyed until the final settlement of audit objections.

Rule 93. Replies

Disbursing Officers should give full and clear replies to each item in the objection statements.

Rule 95. Audit Inspection Reports

The Audit Inspection Reports will be issued in Three Parts viz. **Part-I**, **Part-II**, & **Part-III**.

Part	Content
Part-I	(a) Introductory. (b) Outstanding objections from previous reports in brief. (c) Schedule of persistent irregularities.
Part-II	**Section-A:** Consisting of important irregularities i.e., involving recoveries, questions of principle or losses, etc., which are likely to materialize into draft paras for the Audit Report.

	Section-B: Consisting of irregularities which though not major are to be brought to the notice of higher authorities and followed by the Audit Office.
Part-III	(a) Test audit note containing minor irregularities to which will be attached a schedule of items settled on the spot. (b) The procedural irregularities in respect of which the Head of the Office has held out assurances about following the correct procedure in future will be noted in this schedule.

- *Note:* Part I and II (in respect of all Offices) and Part III (in respect of Mail Motor Services) will be sent in duplicate to the Head of the Office. One copy must be returned to the audit office within a **month** of the date of issue of the inspection reports, retaining the other copy as his office record.

Rule 96. Correspondence Protocol

Postmasters of Sub-Post Offices or Branch Offices should not address the Circle Accounts Officer directly, but through the Divisional Head or the Postmaster of the HPO to which they are subordinate.

- Similarly, other non-Gazetted Officers who are not in independent charge of an office rendering accounts to the Circle Postal Accounts Office/Audit Office may not address the Circle Postal Accounts Office/Audit Officer directly.
- The Circle Postal Accounts Office/Audit Office will correspond directly with Sub-Post Offices in all cases in which any information required leads to the speedy settlement of the audit questions.

Rule 97. Hypothetical Cases

It should be clearly understood that the Circle Postal Accounts Office/Audit Office does not give any opinion on hypothetical cases. All representations or appeals should lie always to the proper executive authorities and not to the Director of Audit (P&T) even where the complaint is against the decision of the Circle Postal Accounts Office/Audit Office.

Rule 98. Requisitions for Audited Documents

Audited bills, vouchers, etc., will not, as a general rule, be supplied by the Circle Postal Accounts Office/Audit Office to any Departmental Officer.

- When such a document is absolutely necessary, a requisition should be submitted to the Circle Postal Accounts Office through the Head of the Circle.
- The above rule does not apply to requisitions for paid Money Orders, paid Indian Postal Orders, or discharged Post Office certificates sent directly to the CPAO by the Superintendents of Post Offices and Senior Postmasters.
- Inspectors of Post Offices, all Head Postmasters, and Sub-Postmasters in the selection grade may also call for paid Money Orders directly for the purpose of enquiry.

Chapter V: Cash

Rule 99. Personal Responsibility

Every Government servant is personally responsible for all Government money which passes through his hands and for prompt record of receipts and payments in the prescribed account. The private cash or accounts of a Government servant may, on no account, be mixed up with the public cash or accounts.

Rule 100. Definition of Cash

The term "Cash" includes legal tender coins, currency or Bank notes, Treasury Certificate, cheques payable on demand and Demand Drafts.

- **Exclusions:** It does not include Government Securities, deposit receipts of Banks, debentures, and bonds accepted as security deposit (whether from contractors or employees).
- **Inventory:** Postage stamps, stationery, reply coupons, and other stamps are not part of Cash but are considered as stock and form part of the inventory.

Rule 101. Legal Tender

Departmental receipts may ordinarily be realized in legal tender coin or currency or Bank notes only. Government currency and Bank notes of all denominations are legal tender.

Rule 102. Custody of Cash

Public money not in the custody of a Treasury or the Bank shall be kept in strong treasure chests and secured by **two locks** of different patterns.

- **Dual Custody:** As a general rule, the key of one lock should be kept in the custody of one man while that of the second should be in the custody of another.
- **Police Guard:** When there is a police guard, the Officer in charge of such guard should be entrusted with the custody of the key of one lock.
- **Opening Protocol:** The chest should never be opened without both the custodians of the keys being present. The Officer in charge of the police guard (where such guard is provided) should always be present when the treasure chest is opened and until it is again locked.

Rule 106. Local and Outstation Cheques

- **(a) Local Cheque:** A cheque drawn on any Bank at the same station as that of the office at which it is accepted. (Clearance may have to be done through another HPO at the same station).
- **(b) Local Cheque (Sub-Office):** A cheque drawn on any Bank located at the same station as that of the HPO and accepted at any of its sub-offices will also be regarded as a local cheque.
- **(c) Outstation Cheque:** All other cheques will be treated as outstation cheques.

Rule 107. Acceptance of Cheques

Cheques may be accepted from the public for any Department of Posts transactions in Post Offices, provided the cheque amount is not less than **Rs. 20/-**.

Rule 109. Recording Cheques

Cheques received in payment of Postal dues should be brought directly to account in the Cash Book or in those initial records from which the Cash Book is posted.

- A "Register of cheques received and cleared" (**Form A.C.G. 28**) must be maintained.

Rule 110. Maintenance of Cash Book

Every Officer or Government servant authorized to receive money or make payment on behalf of the Government must keep a Cash Book.

- **Page Count Certificate:** Before bringing a Cash Book into use, the Postmaster of the HPO or the Officer nominated by him should count the number of pages and record a certificate of count on the first page.
- **Posting:** The Cash Book shall be maintained for posting all vouchers relating to disbursements to the head of accounts of which the transactions are taking place.
- **Balancing:** After recording all transactions of a day, balancing should be done in the main Cash Book.
- **Exceptions:** Sub Postmasters and Branch Postmasters are exempted from keeping a Cash Book.
- **ACG-67 Receipts:** Receipt transactions for which ACG-67 receipts are issued may be recorded in the Cash Book.
- **Custody:** The Disbursing Officer is responsible for the up-keep and safe custody of the used-up Cash Book. A Register should be maintained for used-up Cash Books showing the period of use.

Rule 112. Importance of Cash Book

The Cash Book should be treated as one of the most important account records an Officer may be required to keep.

Rule 113. Entries

No receipt or payment other than that of cash may be entered in the Cash Book.

Rule 114. Timing of Entries

All transactions of receipt or payment must be entered immediately on their occurrence and in order of their occurrence.

- **Document Reference:** Document numbers/Bill numbers generated in the application should be entered on the bill received or other voucher.
- **Contingent Register (TR-29):** Will be maintained in two parts:
    1. Expenditure met from the permanent advance.
    2. Expenditure met otherwise.

Rule 115. Correction of Errors (No Erasures)

Erasure of an entry once made in the Cash Book is strictly prohibited.

- **Pre-Closure Correction:** If a mistake is discovered before the month's accounts have been closed, it should be corrected by striking out the incorrect entry and inserting the correct one in **red ink** between lines. This must be attested with the dated initials of the Disbursing Officer.
- **Post-Closure Correction:** If discovered after submission, it can be corrected only on obtaining the sanction of the authority to whom the accounts are submitted.
- **Error Register:** A register should be maintained detailing the error (document number, transaction date, original GL code, correct GL code) for rectification within the accounting month or for proposal to the Postal Accounts Office if the period is over.

Rule 116. Verification of Cash Book

The Disbursing Officer shall check all entries in his Cash Book as soon as possible after the date of occurrence and initial the book, dating his initials after the last entry checked.

- **Monthly Signature:** The Cash Book should be signed by him at the end of the month.
- **Daily Signature (HPO):** The Head Office Cash Book and Treasurer's Cash Book in a Head Post Office should be signed by the Postmaster every day.

- **HRO Cash Book:** Signed by the Head Record Clerk at the close of each period of account.

Rule 117. Verification Points

When verifying the Cash Book, the Disbursing Officer must ensure:

1. **Payments:** Each entry is compared with the connected voucher (bearing a pay order) and ticked off.
2. **Deductions:** Deductions from vouchers recorded as receipts are compared with the voucher amounts.
3. **Receipts:** Each entry is verified with the counterfoil/office copy of the receipt.
4. **Treasury Drawings:** Entries are compared with Cheque Book counterfoils or duplicate vouchers.

Rule 118. Obtaining Funds

Funds required by Disbursing Officers are obtained from treasuries by cheques, vouchers, or simple receipts.

Rule 119. Closing and Balancing

The Cash Book must be closed and balanced on the date prescribed for closing the Cash Accounts of the month.

- **Frequency:** When transactions are numerous, weekly or daily balancing is recommended.
- **HPO Requirement:** The Head Office Cash Book and Treasurer's Cash Book in a Head Post Office must be closed and balanced **every day**.
- **Nil Transactions:** The Cash Book need not be closed on days with no transactions and when the cash chest is not opened.

Rule 120. Cash Verification

The actual balance of cash should be counted and verified personally by the Officer in-charge on the last working day of each period.

- **Alternative:** The cash balance may be counted on the first working day of the following period before any disbursement.
- **Certificate:** A certificate of the count (in words and figures) must be recorded below the closing entries.

Rule 121. Out of Account Recoveries

On the last working day, amounts considered as "Out of Account" recoveries (e.g., Pay Roll Savings Scheme, Society recoveries) may be paid electronically or by cheque.

- **Court Payments:** May be sent by e-MO (deducting commission).
- **CSI Platform:** All payments should be made through the CSI platform in the concerned GL code.

Rule 122. Excess or Deficiency

If the cash balance is incorrect during the count and the error cannot be immediately rectified, it must be recorded as:

- **Excess:** "To Rs. ... Cash found excess in chest"
- **Deficiency:** "By Rs. ... Cash found deficient in chest"

Rule 123. Inspection Reports

Inspecting Officers (AD, SPOs, IP) must submit a report in **Form A.C.G.-84** to the Accounts Office after verifying cash balances of Head Post Offices on the last day of each month.

Chapter VI: Supply of Funds and Other Remittance Transactions

Rule 124. Authorized Cash Balances

The minimum and maximum cash balance of each Post Office is fixed by the competent authority:

Type of Post Office	Competent Authority
First-class HPO	Head of Circle or SSPOs under his control
HO / MDG / SO / BO	Divisional Head under his control

Rule 125. Remittance of Surplus

All HPOs remit their surplus collection to the Bank or Treasury. If there is no Bank or Treasury, the cash should be sent to another Post Office.

Rule 126. Drawing Account Validity

The authority issued by the CPAO for opening a drawing account by the Postmaster remains current for **3 months** from the date of issue.

Rule 127. Treasury Pass Book

- **Maintenance:** Each Head Office must keep a separate Treasury Passbook in **ACG-8**. Sub-Offices dealing directly with a Treasury/Bank must also keep one.
- **Custody:** It must be kept in the Head Postmaster's personal custody (delegable to a Gazetted Deputy/Assistant Postmaster in GPO/HPO/MDGs).
- **Scrolls:** Bank scrolls should be sent to the GM (F) / Director of Accounts by the Bank.

Rule 128-129. Remittance & Drawings from Treasury

- **Procedure:** Head Postmasters draw funds via treasury vouchers or cheques.
- **Pass Book Presentation:**
    - Postmaster: Presents Treasury Pass Book with a receipt.
    - Sub Postmaster: Presents Pass Book with duplicate receipts.
- **Discontinued Forms:** Physical usage of ACG-11, ACG-11(a), ACG-12, ACG-13, and ACG-14 is discontinued (except in TNF sites or state treasuries).
- **New Process:** Challans/vouchers are mandatorily generated through the **CSI system** consecutively. Cheque books supplied by Circle Accounts Officers shall be used.

Rule 130. Cheques

- **(a) Minimum Amount:** Cheques will not be drawn for amounts less than **Rs. 100/-**.
- **(b) Crossing:** All such cheques should be crossed and made "Not Negotiable".
- **(c) Authorization:** Postmasters of CBPO at Delhi and Kolkata are authorized to draw cheques on RBI, Nagpur.

Rule 131. Electronic Receipts

Payments to the Department by customers may be remitted to the Postmaster's Remittances Account. The per contra entry shall be shown against the service availed.

Rule 132. Electronic Payments

All payments to suppliers, contractors, grantee/loanee institutions etc. above **Rs. 5,000** should be made through electronic advices through GePG/PFMS.

📝 **LEGISLATIVE NOTE:** The limit for mandatory e-payment was lowered from Rs. 10,000 to **Rs. 5,000** vide Ministry of Finance O.M. dated 05.12.2016.

Rule 136. Surplus Collection

Surplus cash collected by a Sub-Office is to be remitted to the Head Post Office situated at the station authorized by the Superintendent (or HOC for First-class HPOs).

Rule 137. Remittance Advice (ACG-15)

- **(a) Procedure:** A remittance advice and acknowledgement (**ACG-15**) should be prepared. The advice is filed by the receiving office, while the acknowledgement is stamped, signed, and returned to the remitting office.
- **(b) Dispatch:** Cash should be enclosed in a cash bag in the presence of the Postmaster/Deputy Postmaster, sealed, weighed, and handed over to the Registration Clerk.

Rule 139-142. Imprest

A cash imprest is sanctioned by the Head of Circle for offices not authorized to use cash receipts for contingent expenses.

- **Maximum Limit:** The maximum amount payable on an imprest certificate (**Form ACG-75**) at one time is **Rs. 250/-**.

Rule 148. Cheque Books

Supplied by the Circle Account Officer on printed requisition.

- **Limit:** Generally, not more than **one** cheque book per requisition.
- **Exception:** Post Offices issuing more than **30 cheques** daily may be allowed more.
- **Usage:** Only one cheque book should be brought into use at a time.

Rule 149. Register of Cheque Books

Maintained in form **CPWA 52**.

Rule 153. Crossing of Cheques

- **Government Dues:** Cheques drawn in favor of Government offices must be crossed with "for credit to Government account and not payable in cash".
- **Non-Transferable:** Must bear "not transferable" on the top.
- **Gazetted Officers:** Cheques in favor of Gazetted Officers must be crossed "Account payee only-not negotiable".
- **Minimum Amount:** The lowest sum for which a cheque may be issued is **Rs. 100**.
- **High Value:** Payments of **Rs. 1 Crore** and above to PSU/Govt aided institutions must be authorized by the PAO New Delhi through RBI.

Rule 155. Payee Specifics

Every cheque in favor of a Gazetted Government Officer must be made payable to **order** only.

Rule 156. Cheque Validity

Cheques shall be payable at any time within **three months** after the month of issue (e.g., a cheque dated in January is payable up to 30th April).

Chapter VII: Revenue and Miscellaneous Receipts

Rule 163. Franking Machine

Refers to RMFS (Remotely Managed Franking Machine).

Rule 164. Advertisement Receipts

Receipts for advertisements in Departmental Publications are granted in **e-Form A.C.G.-67**.

Rule 166. Sale of Publications

Amounts realized from the sale of books and blank forms are credited under the detailed head "Sale of Publications, blank forms, etc.".

Rule 168. Retail Post

Leverages the network of 150,000+ Post Offices for services like bill collection (electricity, taxes, fees).

- **Biller Creation:** Billers are created at Divisional, Regional, Circle, and National levels.
- **Aadhaar Services:**
  - **Enrolment:** Free of cost.
  - **Demographic Update: Rs. 50/-** (including 18% GST).
  - **Biometric Update: Rs. 100/-** (including 18% GST).
- **Gangajal:** Delivery of holy offerings.

Chapter VIII: Pay and Allowances: General Rules

Rule 169. Due Date

- **(1) Preparation:** Salary bills are prepared via computerized platforms in the last week of the month.
- **(2) Disbursement:** Pay and fixed allowances are disbursed on the **last working day** of the month.
- **(3) March Salary:** Pay and allowances for March shall be paid on the **1st working day of April**.
- **(4) Signing Bills:** Bills may be signed/drawn not earlier than **5 days** before the last working day.

CSI HR Payroll Annexure (Indicative)

- **Data Maintenance:** CO/RO/DO/PAO are responsible for maintaining payroll information.
- **Hiring:** Employee ID creation occurs at the Appointing Authority level.
- **Role Delegation:** RDA delegates roles; Post-to-Post mapping is critical.
- **Payroll Process:**
  - **Cyclic:** Monthly salary.
  - **Off Cycle:** Tour TA, LTC, medical reimbursement, etc.
- **Stages:** Simulation run -> Live run -> Simulation posting -> Live posting.

Rule 174. Attachment of Pay for Debts

- **(a) Maintenance Decree: One-third (1/3)** of the salary is exempt from attachment.
- **(b) Exemptions:** Subsistence allowance, HRA, TPA, CEA, Uniform allowance, DA, TA, etc. are fully exempt.
- **Formula (Maintenance):**
  - Net Attachable = X - Y - (1/3 of Basic Pay)

- Where X = Gross Emoluments, Y = Allowances.

Rule 175. Attachment for Other Decrees

Calculation of maximum amount attachable by a Civil Court for decrees other than maintenance:

- **Formula:** Net Attachable = (X - Y - 1000) / 3

Rule 176. Compliance

If a new attachment order exceeds the prescribed limits, the Disbursing Officer shall return it to the Court.

Rule 177. Deductions

Subscriptions and Government dues should be deducted from the **non-attachable** portion of the salary.

Rule 180. First Payment

The first pay bill of a Government servant must be supported by a **Last Pay Certificate (LPC)**.

- **Medical Certificate:** If pay is authorized for up to **two months** without a medical certificate, this must be certified in the bill.

Rule 181. Transfer Responsibility

The Government servant is responsible for obtaining their own LPC from the last disbursing officer.

Rule 182. Payment Caution

A Disbursing Officer must be careful not to pay the pay and allowances to a Government Servant to whom he has granted a Last Pay Certificate.

- **(a)** Provisional payment of substantive pay may be allowed to a non-Gazetted Government servant pending receipt of his LPC.

- **(b) Drawal of provisional pay when renewal sanction for temporary posts not received:** Gazetted officers may draw their pay and allowances provisionally up to a period of **three months** after expiry of sanction.

Rule 185. Arrear Bills

Arrears of pay, fixed allowances, or leave salary shall be drawn, not in the ordinary monthly bill, but in a separate bill.

- The bill clerk who actually draws up the arrear bill will make the entries in the original bills.
- The Accountant or L.S.G. Clerk-in-Charge should check the entries **100%**, and the drawer of the bill should check at least **10%** of such entries.
- **Note:** Where the bill clerk and the accountant happen to be the same (as in the case of small Post Offices), some other official in supervisory charge should attest them **100%**, the actual drawing officer attesting at least **10%** of the entries.

Rule 187. Payment on Quitting Service

The last payment of pay or allowances on retirement, resignation, dismissal, death, or otherwise, or when placed under suspension, shall not be made until the Disbursing Officer has satisfied himself, by reference both to the Account Officer, the departmental authorities, and to his own records, that there are no demands outstanding against him.

Rule 188. Death of Payee

Pay and allowances can be drawn for the day of the Government servant's death; the hour at which death takes place has no effect on the claim.

- "Day" for the purpose of this rule should mean a calendar day beginning and ending at midnight.

Rule 189. Payment to Heirs

Pay including leave salary and allowances of all kinds claimed on behalf of a deceased Government servant may be paid without the production of the usual legal authority under the orders of the Head of Office in which the Government Servant was employed at the time of his death.

- **(a)** Provided the Head of Office is otherwise satisfied about the right of the claimant.
- **(b)** Provided that the Head of Office may sanction the anticipatory payment of an amount not exceeding **Rs. 5,00,000**.

📝 **LEGISLATIVE NOTE:** The monetary limit for payment without legal representation was enhanced from Rs. 10,000 to **Rs. 5,00,000** vide Ministry of Personnel, PG & Pensions O.M. No. 1/26/2018-P&PW (E) dated 05.11.2018.

- **(c)** In cases where the gross amount of the claim exceeds **Rs. 5,00,000**, the payment will be made by the Head of Office only on the execution of an Indemnity Bond in **Form T.R. 14** duly stamped for the gross amount due for payment, with such sureties as may be deemed necessary.
- **(d)** In any case of doubt, payment shall be made only to the person producing the legal authority.

Rule 190. Place of Payment

The claims on account of pay and allowances of the Gazetted and non-Gazetted personnel should be deemed to arise at the station where the Drawing and Disbursing Officer who draws the claims is stationed.

- The Post Office or the Head Record Office to which the Government servant is attached when the claim arises is the place of payment.

Rule 191. Transfer Pay

In case of transfer, the pay due in respect of the old post, which has not been drawn at the time of the transfer, may be drawn at the new Headquarters or at the place in which the pay in respect of the new post is drawn.

Rule 192. Leave Salary

The leave salary of a Government servant, when payable in India, shall be drawn by the Drawing Officer and shall be remitted to the Bank/POSB Account of the Government Servant by whom his pay was being drawn immediately before proceeding on leave.

- In cases where a period of leave is followed by transfer, any portion of leave salary which was not drawn at the old station may be drawn at the office of disbursement from which the pay in respect of the new posting station is drawn.

Rule 193. Absence Out of India

If pay or allowances be due in India to a Government Servant absent out of India, they shall be paid into a designated Bank/POSB account identified and linked to his salary.

- **Exception:** When the Government servant has finally quitted India and it is not possible for him to make his own arrangement for receiving his own pay and allowances in India, payment may be made to him through the High Commissioner of India.

Rule 195. Payment of Honorarium

1. All claims to honoraria granted to persons not in Government Service should be drawn on Receipt in **e-Form A.C.G. 17** or credited to the designated bank/POSB account of the person.
2. Claims to honoraria granted to the Government Officials shall be processed by **PA 30** under CSI. The amount will be credited to the Bank/POSB Accounts.
3. In the case of honorarium granted to Gazetted or non-Gazetted Government servants of another Department or Government, a copy of the sanction should be sent to the administrative Head of the Department.
    - A copy of the sanction to the grant of honorarium should be forwarded simultaneously to the GM (PAF)/Director of Accounts (Postal) for adjustment through the settlement account.
    - Pay and allowances of the Government officers will be drawn on the same form **ACG-20**.

Chapter IX: Establishment

Rule 199. Sections of Establishment

The establishment of each office is divided into "Sections". No fixed rules can be laid down as to what constitutes a section.

- **(a)** The sections should be mainly divided according to the different classes of officials under each detailed head of account in each sub-section of each Abstract of expenditure.
- **(b)** The establishment should ordinarily be divided into as many sections as there are different scales of pay so that each section may represent a unit of Government Servant drawing pay in the same time-scale and under one officer's control.
- **Explanation:** In the Post Office, Postal Assistant and SPM on the same time scale of pay form one section. Sub-divisional Inspector of Post Offices and OS of SPOs offices form one section.

Rule 200. Alteration of Establishment

When the entertainment of a new establishment or a change, temporary or permanent, is proposed in an office, a letter fully explaining the proposals and the conditions must be submitted.

Rule 205. Register of Sanctioned Establishment

A register in prescribed **Form ACG-19(a)** should be maintained by Heads of Offices in all branches of the Department of Posts showing the sanctioned establishment under them.

- The Head of Office will be personally responsible for seeing that the register is kept up-to-date.

Rule 206. Head Postmaster's Register

In addition to the register of sanctioned establishments, which will contain details of the establishment of each office or line within the jurisdiction of the Head Post Office, the Head Postmaster will maintain necessary records.

Rule 207. Date of Birth

At the time of appointment, the official must declare the date of his birth by the Christian era with as far as possible confirmatory documentary evidence (e.g., matriculation certificate, municipal birth certificate).

- The actual date or the assumed date determined should be recorded in the History of Services/Service Book.
- **Alteration:** No alteration in date of birth should be made for a Government Servant, except with the sanction of the Ministry/Department concerned of the Central Government, provided:
    - **(a)** A request in this regard is made within **5 years** of his entry into Government service.
    - **(b)** It is clearly established that a genuine Bonafide mistake has occurred.
    - **(c)** The date of birth so altered would not make him ineligible to appear in any UPSC examination in which he had appeared.
- **Authority:** Heads of Departments are authorized to exercise this power in the case of non-Gazetted Government servants under their control.

Rule 208. Determination of Age

- **(a)** If a Government servant is unable to state his exact date of birth but can state the year, or year and month of birth, the **1st July** or **16th of the month** respectively, may be treated as the date of his birth.
- **(b)** If he is only able to state his approximate age, his date of birth may be assumed to be the corresponding date after deducting the number of years representing his age from his date of appointment.

Rule 209. Service Book

The detailed rules regarding the maintenance of service books are contained in **SR 197 to 203** and **Rule 288** of the **GFR 2017**.

- **Cost:** The cost of the Service Book should be borne by the Government and expenditure on this account debited to Head **3201-102-01-04** (Stationery and Forms printing, storage and distribution).

- **Aadhaar:** Inclusion of Aadhaar/Unique Identification number (UID) in the Service Book is mandatory.

- **e-Service Book:** Implementation of e-Service Book in all Ministries/Departments under the e-Office Mission Mode Project is advised. It will be treated as legal tender for all purposes.

Rule 210. Verification of Service Book

- **(a)** At a fixed time early in the year, the Service Books should be taken up for verification by the Head of the Office who, after satisfying himself that the services of the Government servant concerned are correctly recorded in each Service Book, shall record a certificate.

- **(b)** The Head of Office should inspect the documents every year and initial them in at least **10%** of the total Service Books.

- **(c) Pension Sanction:** To eliminate delay in the sanctioning and payment of pension, all service should be verified after **18 years** of appointment or **5 years** before retirement, whichever is earlier.

- **(d) Re-attestation:** The descriptive particulars of the Government servant in the Service Book on the first page should be re-attested every **five years** by the supervising officer concerned.
    - The re-attestation should be made by the Superintendent in respect of the ASP and IPs, and by the IP/IRM or SPOS/SRM in respect of LSG officials in PO and RMS.

- **(e) Photograph:** The cost of the photograph to be affixed on the first page of the revised Service Book shall be borne by the Government.

Rule 211. Custody of Service Books

The Service Book and Service Rolls should be kept in the custody of the Head of Office.

- The Service Books of non-Gazetted servants of the Post Office on deputation to APS, where they officiate as Gazetted Officers, will be kept centrally in the Office of the **Director of Postal Accounts, Nagpur** (APS section).

Rule 212. Service Book Maintenance

- **(a)** The Service Books should be kept arranged alphabetically.
- **(b)** Service Books must always be kept unfolded.
- **(c)** When the owner of a Service Book dies, resigns, or is discharged, the date of his death, resignation, or discharge should be entered in his Service Book.
- **(d)** The Service Book or roll should be preserved in the custody of the Head of the Office for **5 years** and then destroyed.

Rule 214. Leave Account

The Leave Account of a non-Gazetted Government servant will be kept in the custody of the Head of the Office in which he is employed and the entries in the Leave Account attested by the latter.

- **Exception:** The Leave Account of a non-Gazetted Government servant who himself is the Head of an Office should be kept in the custody of his immediate superior who will also attest the entries. (e.g., HSG-I Postmaster's Service Book should be kept by the Divisional Head).

Rule 215. Monthly Bills

Bills for pay, fixed allowances, and leave salaries shall be prepared separately for permanent, temporary, and experimental establishments in **Form A.C.G. 20**.

- The bill shall be divided into two parts:
    1. Government Servant pay and allowances.
    2. Other payments (i.e., rent, FSC, etc.).
- All fixed allowances claimable by a non-Gazetted Government servant shall be drawn in the establishment pay.

Rule 220. Broken Periods

If a Government servant works in different Sections for broken periods of a month, his pay should be drawn in the bills under each of these sections for the days he actually works there.

- Presently, all payments on account of pay and allowances, TA/LTC bills etc., are being made directly into the accounts (POSB or Bank) of the officials as per Ministry of Finance orders.

Rule 221. Acquittance Rolls

Acquittance rolls of officials for whom no Service Books or Service Rolls are maintained shall be prepared separately and shall on no account be combined with the acquittance of other officials.

Rule 223. Absentee Statement

The monthly bill shall be supported by an absentee statement if any person in superior service was absent during the month (special duty, suspension, leave other than CL) or when a post is left vacant.

- **(a)** Joining time periods should be shown separately. If the period exceeds **7 days** (excluding Sunday), additional information should be mentioned in the remarks column.
- **(b)** Subordinate offices send the absentee statement on the **22nd** of each month (up to the 20th day) to the Head Postmaster.
- **(c)** A Supplementary absentee statement is sent from the **21st** to the end of the month on the **1st** of the following month.
- **(d) HRO Procedure:** Record and Sub-Record Clerks send the absentee statement on the **22nd** (up to 20th) and supplementary on the **1st** to the Head Record Clerk.

Rule 224. Transfer Procedure

When a Government servant is transferred permanently to another Government office, the Head of the Office from which he is transferred should prepare a leave account and send it to the new Head of Office. A copy should simultaneously be sent to the Circle Accounts Officer.

Rule 225. Periodical Increment

Bi-annual increments for officials fall on **1st January** and **1st July** of each year. The DDOs prepare the list of eligible officials.

- **Process:** Periodical increment process is done through **SAP** with T-code **PA 30**. Form **TR-24** is used.

Rule 227. Travelling Allowance Bill

TA bills are prepared in **Form GAR-14**.

Rule 228. TA Bill Presentation

The travelling allowance bills of Government servants proceeding on tour shall be presented at convenient intervals during the tour or immediately on return. As far as practicable, they should be presented before the **31st day of March** if the tour has been completed before that date.

Rule 234. Overtime Allowance (OTA)

A bill (**Form A.C.G.-37**) for Overtime Allowance, including allowance in lieu of duty on Sunday or Weekly Off days earned by sorters in an RMS Division, should be prepared in duplicate after the completion of a four-weekly cycle.

- **Sanction Limits:**
    - **Up to 70 hours:** Sanctioned by Divisional Head.
    - **Beyond 70 hours:** Formal permission required from Head of Circle.

Rule 235. Outstation Allowance (OSA)

OSA earned by Sorters, Mail Guards, and Van-Peons will be drawn in **Form A.C.G. 38** in the beginning of the following month by the Head Record Clerk and submitted to the Divisional Superintendent for countersignature.

Rule 238. Distribution of Pay

If for any reason payment cannot be made within the course of the month, the amount drawn for the payee shall be refunded by short drawal in the next bill and maintained in the Undisbursed Pay and Allowance Register (**ACG-54**).

- Distribution roll form: **ACG-24**.

Chapter X: Contingent Charges

Rule 241. Definitions

- **(1) Contingent Charges:** Incidental and other expenses incurred for the management of an office or for the technical working of a department (excluding works, repairs, stock, tools/plant).
- **(2) Exclusions:** Pay and allowances, leave salary, pensions, Grant-in-Aid, Contributions.

Rule 243. Classification of Charges

1. **Contract Contingencies:** Lump sum placed annually at the disposal of a Disbursing Officer.
2. **Special Contingencies:** Charges (recurring or non-recurring) requiring previous sanction of superior authority.
3. **Countersigned Contingencies:** Charges requiring approval (countersignature) of a controlling authority before admission as expenditure.
4. **Fully Vouched Contingencies:** Charges incurred by the Head of Office on his own authority without special sanction or countersignature.
    - **Note:** Contingent bills of the offices of the DG and HOC do not require any countersignature.

Rule 245. Casual Labour

Persons on daily wages (casual workers) should not be engaged for a work of regular nature. Casual labourers cannot be deployed for work assigned to MTS.

Rule 246. Casual Labour Payment

Where the nature of work entrusted to casual workers and regular employees is the same, the casual workers may be paid at the rate of **1/30th** of the pay at the minimum of the relevant pay scale plus dearness allowance for work of **8 hours** a day.

Rule 250. Responsibility

Every Government Officer shall exercise the same vigilance in respect to petty contingent expenses as a person of ordinary prudence may be expected to exercise in spending his own money.

Rule 251. Controlling Authority Responsibility

The countersigning officer must ensure:

1. Items are of obvious necessity and at fair rates.
2. Previous sanction is attached where required.
3. Requisite vouchers are received and calculations are correct.
4. Grants have not been exceeded.

Rule 252. Permanent Advances

A cash imprest of a moderate amount is sanctioned by the Head of Circle. (e.g., for IP, ASP, and HSG-I Postmaster).

- **Note:** The limit is fixed by the Competent Authority based on requirements.

Rule 255. Detailed Bills

No detailed bills need be submitted to a higher authority for contingent charges which are not classed as countersigned contingencies.

Rule 258. Record of Sanctions

The sanctioning authority will keep a record of all sanctions accorded in a register.

Rule 259. Cancellation and Destruction of Sub-Vouchers

1. No sub-voucher may be destroyed until after a lapse of **three years**.

2. Sub-vouchers retained in the office must be cancelled by a rubber stamp or red ink endorsement.

3. Sub-vouchers for sums exceeding **Rs. 500** (updated from Rs. 50) but not exceeding the limit for submission to Audit, shall be cancelled by the Controlling Officer after check.

Rule 265. Contingent Registers

- **DG/Circle Offices: Form T.R. 29**.
- **HPO: Form ACG-18**.
- **HRO: Form ACG-18-A**.

Rule 267. Endorsements on Bills

A Contingent Bill for payment to suppliers may be endorsed.

- **Validity:** Endorsements remain current for **three months**.
- **Lapse:** Bills issued in the last quarter lapse unless cashed by the end of March.

Rule 275. Abstract Bill

In the case of contingencies countersigned *after* payment, charges are drawn in Abstract Contingent Bills in **Form A.C.G. 19**.

Rule 276. Detailed Bill

Prepared in **Form A.C.G. 19(1)** based on the monthly totals of the contingent register.

Rule 278. Countersignature

- **(1)** Countersigning Officers shall sign the bill and dispatch it to the CPAO on or before the **5th** of the second month following the month to which the charges relate (for HPOs).
- **(2)** For GPO/HPO/MDGs: **15th** of the second month.
- **(3)** Other offices: **Last day** of the month following.

Chapter XI: Miscellaneous Charges

Rule 281. Refunds of Revenue

Refunds are classified as:

1. Refunds to which claimants are legally entitled.
2. Ex-gratia refunds.
3. Refunds are not regarded as expenditure for purposes of grants.

Rule 282-284. Refund Procedure

- Refunds can be drawn only on the demand and receipt of the person entitled.
- Every refund shall be noted against the original credit in the departmental accounts.
- A note of repayment must be recorded on the counterfoil of the receipt.
- Payment will be effected directly by crediting the Bank Account of the person claiming the refund.

Chapter XII: Loans and Advances

Rule 293-296. Departmental & Personal Advances

- **Transfer TA Advance:** Sanction must specify the new office.
- **Departmental Purposes:** Sanctioned by Competent Authority, disbursed to Bank/POSB.
    - **Construction/Repairs:** Debited to Major Head **8553** (P&T Advance).
    - **Government Servant:** Debited to Major Head **7610** (Loan to Govt. Servant).
- **Supplier Advances:**
    - **Private Firms:** Max **30%** of contract value.
    - **State/Central/PSU:** Max **40%** of contract value.

- **Maintenance Contracts:** Max **6 months** payable amount.

Rule 298. Repairs to Rented Buildings

Director-General and Heads of Circles are authorized to sanction expenditure on repairs (including electric installations) to rented buildings if the landlord fails to carry them out.

- **Debit:** Non-recoverable expenditure is debited to "Office Expenses".

Rule 300. Advances on Personal Account

1. **Personal Computer Advance.**
2. **House Building Advance (HBA).**

Government Decisions on Interest:

- **Penal Interest: 2.5%** plus the normal rate of interest.
- **Non-interest bearing advances:** If overdue, **2%** over the GPF interest rate.
- **Credit:** Interest recovered is credited to Major Head **0068** - Misc. General Services.

Personal Computer Advance (GAR-27):

1. **Limit: Rs. 50,000** or actual price, whichever is lower.
2. **Eligibility:** All Government servants.
3. **Frequency:** Allowed **five times** in entire service.
4. **Gap:** Minimum **3 years** between advances.
5. **Sanction:** Head of Department/Administration.
6. **Repayment:** Not more than **150 monthly installments**.
7. **Total Deduction Limit:** Total recoveries shall not exceed **50%** of total emoluments.
8. **Interest Rate: 9.1%** per annum (Example rate for 2023-2024).

Rule 302. Interest Calculation

Simple interest is calculated on balances outstanding on the last day of each month.

- No interest is chargeable beyond the date of death in case of recoveries from Death Gratuity.

Rule 303-304. Drawal

Advances may be drawn on ordinary pay/TA bill or Simple Receipt (**Form ACG 17**).

- Payment is made by off-cycle payment using **PA 30**.

Rule 311. Advance on Tour

- **(i)** Amount sufficient to cover personal travelling expenses for a month.
- **(ii) Adjustment:** Must be adjusted within **15 days** from the completion of the tour or resumption of duty.
- **(iii) Second Advance:** Not granted until the first is accounted for, except when the second journey is within a **week** of the first. In any case, not more than **two** advances outstanding at a time.
- **(iv) LTC Advance:**
  - With advance: Claim within **one month**.
  - Without advance: Claim within **three months**.

Rule 312. Cash Overseers

Superintendent of Post Offices/First Class Postmasters may sanction advances for motor bus fares to Cash Overseers.

Rule 314. Suspension

No advance is granted to an employee under suspension.

Rule 315. PC Advance Recovery

Recovered in maximum **150** equal monthly installments.

Rule 316. Purchase Timeline

Negotiations and payment for the PC must be completed within **one month** of drawing the advance (extendable to **two months** by HOD).

Rule 319. Acknowledgement of Balance

- **Long-term:** CPAO verifies outstanding balance via HR module schedules.
- **Short-term:** DDO records a certificate on the monthly abstract for April each year regarding the balance as of **31st March**.

Chapter XIII: Sanctions

Rule 323. Effect

Sanctions have effect from the date of issue of the order.

Rule 324. Lapse

- **General:** A sanction not acted on for a **year** lapses.
- **GPF Advance:** Lapses after **three months** if not acted upon.
- **Budget:** Sanctions under budget provision lapse on the expiry of the financial year.

Rule 332. Write Off

All sanctions for writing off irrecoverable stores or public money must be communicated to the Accounts Officer.

Chapter XIV: Deposits

Rule 339-340. Security Deposits

- Covered by a bond (**Form GFR 14**).
- Fidelity Bond (**Form GFR 17**).

Rule 353. Forms of Security

1. Cash.
2. Promissory Notes/Stock Certificates.
3. POSB Passbooks/Cash Certificates.

4. **10%** deduction from monthly payments.

5. Personal securities (two persons).

6. Fidelity Bond.

7. Bank Guarantee/Drafts.

    - **Note:** Security deposits (including earnest money) vary from **1% to 10%** of the estimated cost of work.

Rule 358-364. Refunds

- Refunded on production of due authority.
- **Earnest Money:** Refunded to unsuccessful contractors immediately. Forfeited if the selected contractor fails to take up work.

Chapter XV: Buildings and RMS Vans

Rule 366. Register

A Register of Lands and Buildings is maintained by Heads of Circles in **Form ACG-69**. Additions/alterations are communicated at the end of **December**.

Rule 409. RMS Vans

Register maintained in **Form ACG-69** in Circle Office and DG Office.

Chapter XVI: General Provident Fund

Rule 414. Admission Procedure

1. Head Office sends a statement to Circle Accounts on the **15th** of the month (3 months before subscription starts).

2. Accounts Officer allots Account Number.

3. Head of Office certifies eligibility.

4. Account Number is entered in the Service Book.

Rule 415. Recovery of Subscription

- Recovered from pay bills.
- Can be paid in cash if desired.
- **Discontinuation:** Compulsorily discontinued during the last **3 months** of service.

Rule 418. Withdrawals

Final withdrawal amounts are credited to the identified Bank account of the subscriber.

Appendices

- **Appendix 1:** Receipts exempt from Stamp Duty (Govt receipts, FSC, Pension, POSB withdrawals).
- **Postal Welfare Board:**
  - **Discretionary Grants:** Up to **10%** of allocated grant.
  - **Eligibility:** Staff drawing Basic Pay up to **Rs. 65,220/-** per month (or as revised).
